Mom Needs Care Now: The First Three Things to Get Onto Paper About Her Finances

Three first moves, in order, and what to leave for later.

The first bill from the facility is on the kitchen table. Mom's statements are in a desk drawer, a basket by the phone and a box in the hall closet, and nobody in the family is sure exactly what she owns or what comes in each month.

Start here. Three things, in this order.

1

List what she has, as far as you know it

On one sheet of paper, write down every source of income, bank account, investment, retirement account, property and insurance policy you know of. Beside each one, note where the paper for it is, or write “not found yet.” Names are enough for today. Amounts can follow. [1]

WHY THIS COMES FIRST Every later question starts from this list, and a blank on it shows you where to look next.

2

Write down what care is costing each month

Take the most recent bill or rate sheet from the facility or care provider and copy down the monthly charge as it's printed, with anything billed separately beneath it. Then list Mom's other regular payments. Mark any number that is your own estimate, and ask the business office about any line you don't understand. [2]

WHY THIS COMES FIRST The bills are the other half of the picture, and they're already in your hands.

3

Put the records in one place

Choose one folder, box or binder. Put in it the recent statements, policies, benefit letters and bills you've found, like with like, and add new mail as it arrives. Tell one other person in the family where it is. [3] [2]

WHY THIS COMES FIRST Whoever helps with the next steps may ask to see the paper behind the list. Which records they need, and how far back, is theirs to say.

What can wait

- Adding it all up. A total is only as good as the list under it, and the list isn't finished yet.
- Working out how long her money may last.
- The records you haven't found. Ask your Medicaid planner which of them matter before you go looking.
- What any of it means for Medicaid. The rules vary by state and change, and that question goes to your Medicaid planner.
- Any decision about her money or property. That comes later, with the right professional.

Two things not to guess at

A bill or a letter with a date on it that you don't understand: call the office that sent it, ask what it's asking for, and write down who you spoke with. And the accounts themselves: gathering doesn't call for changing any of them. Adding or removing a name, moving money between accounts or closing one is a decision, and decisions come later, with the right professional. The Consumer Financial Protection Bureau's guide for people managing a relative's money says to get legal advice before changing a joint account, and before any decision that may affect Medicaid eligibility.

What this guide doesn't do

It doesn't add anything up, say how long Mom's money may last, or say what any of it means for Medicaid. It isn't legal, financial or tax advice. It puts the first round of paperwork in order.

Ready for the next step?

You've got a list of what Mom has, what her care is costing each month and one place for the paper. The planning interview takes it from there: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

The list of what to identify, and the advice about legal advice, follow the Consumer Financial Protection Bureau's guide for people managing a relative's money. Listing regular payments and telling someone where the papers are follow the Bureau's page on planning for illness. Sorting like with like and adding new mail as it arrives follow AARP. The order is ours.

1. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney
2. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
3. AARP, 5 Steps to Organize Your Loved One's Financial Records